



Zand Trust

Dirham (AED) Payment Token

Whitepaper

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1 Document Control

1.1 Revision History

The below table defines the changes to the versioning of the content of the document.

Date	Version	Author	Notes
25 Aug 2025	1.0	Mark Ng, General Manager	First publication

1.2 Approvers

The below table defines approvals of the document from each of the delegated members plus the date of approval, it should be noted that some changes may occur after the latest approval, in this case the document should be resubmitted for approval.

Date	Version	Approver Name and Role
	1.0	Mohammed Almazrouei, Board Chairman of Zand Trust

1.3 Change Management Standard Governance

1.3.1 Approving Authority and Ownership

This standard shall be owned by the Issuer and approved by the Board Committee of Zand Trust. Any changes that are not substantive but incidental or administrative in nature, do not require a sign-off by the Board Committee, these can be approved by the Issuer of the document.

1.3.2 Deviations

Any deviations, including any addenda, shall be on an exceptional basis and must be documented by the requesting Company Unit Head and approved by the Issuer.

Any changes to the deviations/addenda that are not substantive but incidental or administrative in nature, do not require a sign-off by the Issuer.

1.3.3 Review

This standard shall be reviewed annually, or as appropriate and approved by Issuer, to ensure continued relevance.

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2 Executive Summary

A wholly owned subsidiary of Zand Bank, Zand Trust (the “Company”) is launching an innovative digital currency project focused on creating a Payment Token (or commonly known as Stablecoin in the digital asset industry) pegged to the United Arab Emirates Dirham (AED). This initiative aims to enhance the efficiency, transparency, and accessibility of financial transactions within the UAE and global market.

Zand Bank will carry out the Conversion and Custody activities while the specific Issuance activities will be carried out by Zand Trust. The Payment Token will be issued at a 1:1 ratio with the AED, ensuring its stability and reliability as a digital representation of the United Arab Emirates national currency. This stability will provide users with a secure medium of exchange, a unit of account, and a store of value, all crucial aspects of a modern digital currency.

By leveraging blockchain technology, the Payment Token will offer fast, secure, and low-cost transactions, enabling individuals and businesses to conduct transfers seamlessly. Moreover, the transparency of blockchain will enhance trust among users, fostering widespread adoption of Payment Token.

Zand Trust is committed to regulatory compliance, ensuring that the Dirham Payment Token meets all necessary legal and regulatory requirements. This commitment will provide users with confidence in the stability and legality of the Payment Token, further driving its adoption and utility.

The launch of the Dirham Payment Token represents a significant step towards a more efficient, transparent, and inclusive financial ecosystem in the UAE and beyond. Zand Trust is dedicated to ensuring the success of this project and looks forward to the positive impact it will have on the financial landscape.

3 Introduction

In an era marked by rapid technological advancement and evolving financial landscapes, the traditional methods of money and transactions are undergoing profound transformation. The emergence of blockchain technology and digital currencies has presented unprecedented opportunities to revolutionize the way we store, transfer, and exchange value.

As a leading financial institution committed to innovation and progress, we are proud to introduce an ambitious initiative aimed at harnessing the power of blockchain to create a stable and reliable digital currency pegged to the United Arab Emirates Dirham. This whitepaper outlines our vision for this groundbreaking project and articulates the key features, benefits, and implications of the Dirham Payment Token.

The Dirham Payment Token powered by Zand, represents a monumental step towards realizing a more efficient, transparent, and accessible financial ecosystem within the UAE and beyond. By combining the stability of fiat currency with the technological prowess of blockchain, the Payment Token offers a secure, fast, and cost-effective medium of exchange, unit of account, and store of value. It will serve as the first blockchain-based, regulated, digitized currency in the AED currency.

Throughout this whitepaper, we will delve into the underlying principles, technical specifications, and regulatory considerations that underpin the Payment Token project. Zand Trust is fully committed to ensuring the success and sustainability of the Payment Token project, guided by principles of integrity, transparency, and regulatory compliance. We believe that by pioneering this innovative digital currency initiative, we can contribute to the ongoing evolution of the financial industry and empower individuals and businesses to thrive in the digital economy.

4 Company

4.1 Overview

Licensed by the Central Bank of the UAE, Zand Bank is the first digital bank to provide corporate and institutional banking services. In addition to innovative banking services, Zand Bank is set to be a digital economic accelerator, providing the foundations for a broader generation of digital services. Through fully digital offerings, Zand Bank will make banking quicker and simpler, and provide tools that put customers in control of their financial lives.

Zand Trust is a wholly owned subsidiary of Zand Bank, created specifically for Payment Token services. Its sole business activity is the Issuance of Payment Tokens. On top of meeting regulatory requirements, this specialization allows Zand Trust to focus and foster rapid innovation tailored to meet industry needs, enhanced risk management and compliance, as well as streamline processes for greater efficiency.

4.2 Mission & Vision

The vision and mission reflect the commitment to providing high quality issuance, custody and conversion services while prioritizing security, trust, and client satisfaction. They serve as guiding principles for our Company' growth and development in the financial and digital asset industry.

- **Vision:**
 - To empower the world with the freedom to choose how they transact, whether through traditional fiat currency or digital Payment Tokens, fostering a more inclusive and efficient financial ecosystem. We aspire to become the leading provider of fiat-backed Payment Tokens, recognized globally for our commitment to security, transparency, and financial innovation. By positioning our Payment Token as a key enabler in the broader financial and blockchain infrastructure and setting the gold standard for fiat-backed Payment Tokens, we seek to transform the way the world transacts and interacts financially.
- **Mission:**
 - Our mission is to revolutionize the financial landscape by providing a secure, transparent, and accessible fiat-backed Payment Token solution. We aim to empower economies by offering a reliable digital currency that facilitates seamless transactions, promotes financial inclusion, and integrates effortlessly with the global economy. Through innovation, compliance, and

exceptional client-centricity, we strive to build trust and deliver value to our users, stakeholders, and the broader financial ecosystem.

4.3 Business Activity

4.3.1 Payment Token Issuance

Zand Trust will be the issuing authority for the Payment Token, who will be responsible for the minting and burning of the Payment Tokens, maintaining 1:1 peg with its underlying fiat currency, reserve management and overall stability of the Payment Token.

4.3.2 Payment Token Custodian and Transferor

The Payment Token will be directly integrated with Zand Bank's Digital Asset Custody solution as a Payment Token Custodian and Transferor. Users also have the option to hold the Payment Tokens with Zand Bank as a custodian. As a Custodian and Transferor, Zand Bank will be responsible for the safekeeping of the Payment Tokens under its custody, and distribution of the tokens to clients.

4.3.3 Payment Token Conversion

Zand Bank will be acting as the Payment Token Conversion Provider who will be responsible to place and accept offers for the sale and purchase of Payment Tokens, order tracking management and fulfillment for the clients.

5 Product Features and Benefits

The Dirham Payment Token offers many advantages, ranging from stability and efficiency to transparency and accessibility. As a pioneering digital currency initiative, the Payment Token is poised to revolutionize the way we transact and interact in the digital economy, ushering in a new era of financial empowerment and inclusivity.

5.1 Stability

The Dirham Payment Token offers stability, maintaining a 1:1 peg with the United Arab Emirates Dirham. This stability is essential for facilitating reliable transactions and preserving the value of assets in an inherently volatile digital asset market.

5.2 Efficiency

Leveraging blockchain technology, the Dirham Payment Token enables near-instantaneous transactions, eliminating the delays and inefficiencies associated with traditional banking systems. Whether conducting domestic or international transactions, users can enjoy fast and seamless transfers of value.

5.3 Cost-effectiveness

By bypassing intermediaries and streamlining transaction processes, Payment Token significantly reduces transaction costs for both individuals and businesses. With lower fees and ease of access, Payment Token promotes financial inclusion and empowers individuals to participate in the digital economy.

5.4 Transparency

Built on a transparent and immutable blockchain, the Payment Token ensures full visibility and traceability of transactions. This transparency enhances trust, mitigates risk of fraud and corruption, and fosters a more accountable financial ecosystem.

5.5 Accessibility 24/7

As a digital currency available on the blockchain, the Payment Token is accessible to anyone with an internet connection, irrespective of geographic location or socioeconomic status. This accessibility promotes financial inclusion, empowering underserved populations to access essential financial services.

5.6 Regulatory Compliance

We are committed to ensuring full compliance with regulatory requirements and standards, providing users with confidence in the legality and legitimacy of the Payment Token. By adhering to regulatory guidelines, we uphold the integrity of the Payment Token ecosystem.

5.7 Multi-blockchain Support

The Payment Token will be natively supported across various blockchains, removing reliance on complex bridges. This multi-standard approach enhances liquidity, reduces transaction costs, promotes adoption, simplifies integration, and ensures consistent user experience. Interoperability via smart contracts or other inter-protocol tools will be implemented to achieve specific use cases to increase the utility of the Payment Token.

5.8 Innovation

By pioneering the issuance of a Payment Token pegged to the Dirham, Zand Trust demonstrates its commitment to innovation and thought leadership in the financial industry. The Dirham Payment Token project represents a significant step towards harnessing the potential of blockchain technology to drive positive change and reshape the future of finance.

5.9 Disclosure and Reporting:

Zand Trust will publish the daily reserves and token supply attestations by an independent third-party auditor, thereby promoting transparency of reserve funds and the maintenance of the 1:1 peg between Payment Token and the Dirham.

6 Payment Token: Current Challenges & Use Cases

The Dirham Payment Token is designed to serve a wide range of use cases, catering to the diverse needs of individuals, businesses, and institutions within the United Arab Emirates (UAE) and beyond. This section explores some of the key use cases for the Dirham Payment Token, highlighting its versatility, efficiency, and accessibility.

The current Payment Token market capitalization is approximately \$250 billion, with concentration in fiat-backed Payment Tokens of one currency type. Payment Tokens backed by other currencies are sparse and not yet majorly adopted. Digitizing the UAE Dirham presents an opportunity in the market to democratize the financial system through domestic & cross-border payments and remittances, which otherwise relies on the traditional systems that can be slow and inaccessible.

6.1 Remittance

The Payment Token offers an efficient and cost-effective solution for cross-border remittance payments. It enables expatriates to transfer tokens to their families in the UAE instantaneously, bypassing traditional remittance channels and significantly reducing fees and processing times.

6.2 International Trade

Businesses engaged in international trade can leverage the Payment Token and properties of the distributed ledger technology to enhance transaction security and transparency with overseas partners. Using the Payment Token can streamline the settlement process as it is a consistent and reliable value peg. This reduces the complexities associated with fluctuating exchange rates and facilitates smoother cross-border commerce.

6.3 E-commerce

Online retailers and e-commerce platforms can integrate the Payment Token as a payment option, offering customers a convenient and stable digital currency for purchasing goods and services online. The fast transaction processing and lower fees associated with the Payment Token transactions enhance the overall shopping experience for consumers. Retailers and merchants who are able to receive payments directly from consumers would be more incentivized to pass on cost savings or provide a better loyalty program, promoting increased economic activity.

6.4 Peer-to-Peer Payments

Payment Tokens can provide a distinct advantage over traditional fiat transactions, which often require intermediaries like banks or payment processors and can incur high fees and lengthy processing times. Payment Tokens enable direct, instantaneous, and low-cost transfers.

6.5 Retail Payments

Utilizing Payment Tokens for retail transactions offers a convenient and secure payment solution for consumers and merchants alike. With stable purchasing power anchored to fiat currency, Payment Tokens facilitate seamless transactions, shielding users from the volatility often associated with cryptocurrencies. Retailers benefit from faster settlement times and reduced transaction fees, while consumers enjoy the flexibility of digital payments without exposure to currency fluctuations. Enhanced privacy, global accessibility, and simplified cross-border transactions further amplify the appeal of Payment Tokens in retail environments.

6.6 Financial Inclusion

The Dirham Payment Token promotes financial inclusion by providing individuals with limited access to traditional banking services a secure and accessible means of storing, transferring, and managing their funds. With just a smartphone and internet connection, anyone can participate in the digital economy using the Dirham Payment Token.

6.7 Hedge against Volatility

Payment Tokens as a temporary hedge against the volatility in virtual asset markets offer a strategic advantage for investors and traders. During periods of high volatility, transferring assets into stable Payment Tokens allows market participants to preserve their capital without the immediate need to convert to traditional fiat currencies. This not only provides a safe harbor from market fluctuations but also maintains liquidity, enabling quick re-entry into the market when conditions stabilize.

7 The Dirham Payment Token

7.1 General information about the Dirham Payment Token:

PART A: Information of the Payment Token Issuer		
A.1	Legal name	Zand Trust SOC LLC
A.2	Address	Emaar Square Building 6, Level 1, 101A P.O. Box 62593, Dubai, UAE
A.3	Trade license identifier	Main Lice. Nr 1504379
A.4	Business activity	1. Payment Token Issuer
A.5	Website	www.zandtrust.com
PART B: Information on the parent entity of the Payment Token Issuer		
B.1	Legal name	Zand Bank PJSC
B.2	Address	Emaar Square Building 6, Level 1, 101 P.O. Box 62593, Dubai, UAE
B.3	Business activity	1. Commercial bank (244646) 2. Virtual Asset Custody (VL/2024/12/001) 3. Payment Token Custodian and Transferor 4. Payment Token Conversion
B.4	Website	www.zand.ae
PART C: Information on the Dirham Payment Token		
C.1	Token Name	Zand AED
C.2	Token Abbreviation / Ticker	AEDZ

7.2 Distributed ledger technology (DLT)

The Payment Tokens will be built on DLT, a digital framework that records transactions across multiple locations at once. Unlike traditional databases that rely on a central data store and administrative control, DLT operates without a single central authority. Instead, consensus on transactions is achieved through a network of nodes, each holding a copy of the ledger. This decentralization offers several benefits, including enhanced transparency, improved security, better traceability, and increased efficiency in transaction processing. Blockchain, a well-known type of DLT, maintains the ledger through a sequence of interconnected blocks. Each block contains a batch of transactions and is cryptographically linked to the previous one, making it extremely difficult to alter any recorded data without changing all subsequent blocks. Additionally, blockchains employ smart contracts—self-executing contracts with the terms written into code—which automate processes and reduce the need for intermediaries, thereby boosting efficiency. Blockchains also provide

significant advantages in terms of consumer choice and system interoperability. Users can access the open-source code, allowing them to review, validate, and select the platform that best fits their requirements. This level of transparency enables more informed decision-making. Furthermore, the open nature of blockchains supports interoperability, allowing various applications that follow the same technical standards to integrate smoothly. This flexibility promotes innovation and facilitates seamless interactions between different services within the blockchain ecosystem. To capitalize on these advantages, Zand Trust issues Dirham Payment Tokens on multiple blockchains, ensuring efficient and secure movement of tokens.

7.3 Consensus and incentive mechanisms

Blockchain consensus mechanisms are essential protocols that ensure the integrity, security, and agreement of transactions across decentralized networks. These mechanisms, such as Proof of Work (PoW), Proof of Stake (PoS), and various rollup technologies, facilitate efficient and secure transaction validation. PoW relies on computational power to solve complex puzzles, while PoS selects validators based on the amount of cryptocurrency they stake. Validators play a critical role in these processes by verifying and adding transactions to the blockchain. They are incentivized through rewards or transaction fees, which motivate them to act honestly and maintain the network's security. Rollup technologies aggregate multiple transactions into a single batch, enhancing scalability and reducing costs. These diverse mechanisms are vital for sustaining decentralized networks' reliability and efficiency. Incentive mechanisms ensure that validators have a financial interest in the network's health, aligning their goals with the overall security and performance of the blockchain.

7.4 Token standards

Zand Trust will launch the Payment Token using a blockchain token standard that aligns with regulatory expectations and compliance requirements. ERC-20 is a well-established standard for fungible tokens on Ethereum and EVM-compatible chains. This shall be determined in consultation with regulators to ensure full compliance.

Depending on regulatory feedback, the token may be launched using ERC-20 or alternative standards including but not limited to:

- ERC-1404 – Enables transfer restrictions and compliance enforcement.
- ERC-777 – Offers advanced token control and operator functionality.
- ERC-1155 – Supports both fungible and non-fungible tokens in a single contract.
- Solana SPL Token Standard – A lightweight, high-performance standard used for fungible tokens on Solana. It allows for centralized or decentralized control and integrates with Solana's fast, low-cost infrastructure.

- **Aptos Fungible Asset Standard** – Introduced in 2023, this standard leverages Aptos' Move language and object model. It allows for native compliance features like freezing and forced transfers without requiring separate smart contracts.
- **Stellar Tokens** – Designed for regulated cross-border payments with native KYC support.

Zand Trust is committed to a secure, compliant, and future-ready token launch, and will adopt the standard best suited to regulatory and operational needs. The official list of issued tokens, including details such as token standard, contract address, and blockchain, will be published and maintained on the Zand Trust official website.

7.5 Blockchain protocols

Zand Trust can support multiple blockchains and will continue to expand its support over time. By embracing a client-centric approach, Zand Trust is committed to building out its roadmap in a manner that is responsive to both market dynamics and client feedback. This ensures that the solutions provided are not only robust and versatile but also aligned with the specific requirements and preferences of its user base. Listening to and integrating client insights will guide Zand Trust's development strategy, fostering innovation and maintaining a competitive edge in the rapidly evolving blockchain landscape.

7.6 Zand Bank's Digital Asset Custody

The Dirham Payment Token will be directly integrated with the Bank's Digital Asset Custody solution, providing a secure and robust foundation for the Issuance and Conversion of the Payment Token.

7.7 Fiat Reserves Custody

Reserves are kept in dedicated Escrow accounts with Zand Bank. The Bank offers in-house on-ramp and off-ramp services for users to create and redeem the Dirham Payment Token.

7.8 Reserve of Assets Composition

In line with the Payment Token Services regulation, Zand Trust shall maintain a reserve of assets comprising at least 50% in cash, denominated in the same currency as the Zand AED Payment Token — the UAE Dirham. Depending on business or operational liquidity requirements, Zand Trust may choose to hold up to 100% of the reserves in cash as long as the 50% minimum is maintained. The remaining portion of the reserves may be invested in UAE government bonds and CBUAE Monetary Bills (M-bills), provided these instruments have an average duration of six months or less.

7.9 Regulatory Oversight

The issuance of the token is in strict adherence to the regulations outlined by the Payment Token Service regulations established by the Central Bank of the United Arab Emirates (CBUAE). This regulatory framework provides comprehensive guidelines and standards governing the issuance and operation of payment tokens within the UAE's financial ecosystem.

7.10 Segregation of Funds/Tokens

All fiat reserves are placed in a dedicated escrow account held with Zand Bank. This arrangement ensures the legal integrity of the funds and affords token holders a recourse to the reserve assets in the event of insolvency.

7.11 Audits

Zand Trust will contract with an independent third-party audit firm to conduct monthly attestations on the fiat reserves. The attestation reports will be accessible online for transparency and verification purposes. The smart contract utilized by Zand Trust is independently audited to verify its integrity and security.

7.12 Transaction Monitoring and Fraud Detection

Zand Trust has implemented robust transaction monitoring and fraud detection protocols within its monitoring systems for both fiat and crypto deposits/withdrawals. These protocols enable Zand Trust to identify and flag any irregularities or suspicious activities occurring within transactions across both blockchain and fiat escrow accounts.

7.13 Compliance Control Measures

In alignment with its commitment to security and compliance, Zand Trust reserves the right to freeze Payment Tokens located in wallets that are found to be associated with illegal or criminal activities. Freezing a wallet refers to the temporary ability to execute any transfers of the Payment Tokens within that wallet. This measure aims to prevent the furtherance of illicit transactions. Conversely, un-freezing a wallet means restoring transfer capabilities to the Payment Tokens within, which Zand Trust will undertake if subsequent investigations determine that the wallet address is clear of any malicious intent or unlawful conduct.

8 Payment Token Holders' Rights and Obligations

1. The Dirham Payment Token will be available for Creation (Buy) and Redemption (Sell) via Zand Bank, and external distribution platforms and listing venues.
2. The Dirham Payment Token issued by Zand Trust, is subject to CBUAE regulation and applicable Laws.
3. Holding the Dirham Payment Tokens only provides rights as specified in this Whitepaper and under Applicable Laws. Transferring the tokens to another address automatically assigns the right to redeem them for AED to the new holder, provided they are eligible.
4. Transactions involving Dirham Payment Tokens are irreversible as per the properties of a blockchain. Once sent, token holders accept the risk of losing access to their tokens indefinitely or permanently due to potential errors or mishandling, such as incorrect address entry or loss of private keys. Neither Zand Bank nor Zand Trust is obligated to track or verify token balances or security interests unless required by Applicable Laws.
5. Holders of Dirham Payment Tokens can legally claim redemption from Zand Bank at any time and at par value (1 Dirham Payment Token to 1 fiat Dirham AED). While reserves may be held in interest-bearing accounts, token holders are not entitled to any interest or returns on these funds. The tokens only represent the right to redeem an equivalent amount of AED.
6. Zand Bank will process redemptions for token holders following successful Anti-Money Laundering (AML) checks, which may include but not limited to identity verification and bank detail validation.
7. Redemption requests may experience delays during periods of extreme market volatility or scheduled system maintenance. All such delays will be managed in accordance with applicable regulatory requirements and communicated to users in a timely manner.
8. Holding Dirham Payment Tokens does not create any liens or ownership interests in Zand Bank, Zand Trust or its affiliates.
9. By holding or using Dirham Payment Tokens, holders confirm compliance with this White Paper and Applicable Laws and are not using the tokens for illegal activities. Zand Bank and Zand Trust reserves the right to block addresses associated with illegal activities and may freeze tokens sent to or received from such addresses. Suspected illegal activities may be reported to law enforcement, possibly resulting in the forfeiture of rights to the tokens.

10. Dirham Payment Tokens are issued and redeemed in accordance with Zand Trust's Payment Token Access Denial Policy. Transfers to and from certain addresses may be blocked as permitted by this policy.
11. Token holders must use the tokens for their own account and not as nominees or agents of Zand Trust, unless explicitly agreed in writing. Zand Trust's liability is limited to what is provided by Applicable Laws and this Whitepaper. Zand Bank and Zand Trust denies all warranties to the full extent permissible by Applicable Laws and is not liable for any damages arising from the use of the tokens, including direct, indirect, incidental, punitive, and consequential damages.
12. Zand Bank and Zand Trust reserves the right to periodically modify these rights and obligations. Customers will be notified of such changes via updates to this Whitepaper, or any other communication method deemed appropriate, including the respective entity's website.

9 Risks

Below are the risks associated with issuing the Dirham Payment Token:

9.1 Potential Bankruptcy of Zand Trust

1. This risk involves the potential bankruptcy of Zand Trust, which could occur due to insolvency stemming from its business activities or other systemic financial risks that might impact Zand Trust's operational and financial stability.
2. In the event of Zand Trust's bankruptcy, despite not having historical legal precedence, client funds would remain secure, ensuring that reserves on Dirham Payment Token are still redeemable, and cannot be used to compensate creditors of Zand Trust. Segregated escrow accounts are used for the management of Dirham Payment Token reserves.

9.2 Market & Liquidity Risk

1. In accordance with the Payment Token Service regulations set forth by the Central Bank of the United Arab Emirates (CBUAE), the issuer is permitted to invest a portion of the reserve asset. There is a risk that underlying investments are not immediately liquid, leading to inability to fulfill Redemption requests in a timely manner.
2. In secondary markets, prices of the Payment Token could react to supply and demand albeit the 1:1 redeemability maintained by Zand Trust, causing a divergence in its price.

9.3 Under-Collateralization Risk

1. This risk could arise from fraud or mismanagement of the Payment Token where the asset reserves fall below the total circulating supply of Payment Tokens.
2. Monthly independent audits and regular publication reports should help alleviate the risks. Additionally, Zand Trust will implement strong internal controls including alerts and system monitoring to enable quick discovery and prompt action.

9.4 Anti-Money Laundering/Counter-Terrorism Financing Risk (AML/CTF)

1. This risk pertains to the potential use of virtual asset wallets holding Dirham Payment Tokens or transactions involving these tokens for money laundering or terrorist financing, or their association with individuals known to have committed such offenses.

2. Zand Bank and Zand Trust implements comprehensive AML/CTF policies aligned with international standards, supported by stringent Know Your Transaction (KYT) procedures to verify user identities. Advanced transaction monitoring systems and real-time alerts detect suspicious activities, while robust sanctions screening tools check international lists of offenders. Regular internal and external compliance audits, along with mandatory employee training on AML/CTF policies and trends, ensure ongoing vigilance. Additionally, both Parties maintains open communication with regulatory bodies and law enforcement agencies, participating in information-sharing initiatives to stay updated on emerging threats and best practices. These measures collectively enhance security, regulatory compliance, and stakeholder trust.

9.5 Personal Data Risk

1. This risk pertains to the potential loss of clients' personal data due to security breaches or data leaks.
2. Zand Bank and Zand Trust implements encryption and secure access controls to safeguard client information. Regular security audits and vulnerability assessments identify and address potential weaknesses in the system. Both Parties also follows strict data handling and storage protocols in compliance with relevant data protection regulations. Employee training programs on data privacy and security best practices ensure staff are aware of their responsibilities.

9.6 Third-Party Risk

1. This risk pertains to Zand Trust's business relationships with third-party service providers. Zand Trust's ability to effectively conduct its activities depends on the services provided by several third parties, such as banks handling safeguarding and settlement accounts. If these third-party providers are unable to perform their functions, it could impact Zand Trust's capability to properly issue, manage, and redeem Dirham Payment Tokens. Third parties may choose to support Dirham Payment Tokens on their platforms without requiring authorization or approval from Zand Trust or any other entity. Consequently, the presence of Dirham Payment Tokens on any third-party platform does not imply endorsement by Zand Trust regarding the validity, legality, stability, or appropriateness of such services. Zand Trust is not liable for any losses or issues you may encounter when using Dirham Payment Tokens on non-Zand Trust platforms.
2. This risk is heavily mitigated since Zand Trust utilizes banking and digital asset custody services from its parent company, Zand Bank. Having most processes

performed and supported intra-group ensures seamless and secure administration of the Dirham Payment Tokens.

3. Additionally, Zand Bank and Zand Trust mitigates this by conducting due diligence on external service providers to ensure financial stability and regulatory compliance. By diversifying critical functions among multiple providers and establishing backup options, both Parties prevent over-reliance on any single entity. Clear Service Level Agreements (SLAs) will define performance expectations and penalties for non-compliance. Continuous monitoring and real-time tracking will quickly address any service disruptions. Agreements with service providers also contain specific clauses which do not allow termination of relationship or services without notice.

9.7 Regulatory Risk

1. Regulatory risk pertains to the non-compliance of Zand Bank and Zand Trust in offering its Payment Token services, which can result from changes in regulatory frameworks, differences in local vis-a-vis global regulatory guidelines or inadequacy in Payment Token management.
2. To mitigate this, both Parties closely monitors regulatory developments, engages with relevant authorities, and maintains a proactive approach for regulatory compliance.

9.8 Cybersecurity Risk

1. Cybersecurity risks pose a significant threat to the Payment Token ecosystem. Potential vulnerabilities include unauthorized access to user wallets, data breaches compromising sensitive information, and distributed denial-of-service (DDoS) attacks disrupting network operations.
2. To address these risks, Zand Bank and Zand Trust will implement multi-layered security protocols, including advanced encryption, multi-factor authentication, regular security audits, continuous monitoring of potential threats and swift response to any detected anomalies.

9.9 Technology Risk

1. Technical risks encompass a range of potential issues related to the Payment Token's underlying infrastructure. These include system failures, software bugs, and integration challenges with existing financial systems.
2. To mitigate these risks, Zand Bank and Zand Trust will employ rigorous testing protocols, including functional testing and simulation of various failure scenarios. Redundancy measures will be implemented across critical systems to ensure

business continuity in technical failures. A disaster recovery plan will be established and regularly updated to address potential technical disruptions.

3. All system upgrades, security patches, and emergency actions -affecting both customer facing and backend systems- require approval from a designated governance committee. Emergency actions follow documented incident response procedures and are reported to users and regulators as required, ensuring operational resilience and regulatory compliance.

9.10 Blockchain and Smart Contract Risk

1. The blockchain networks on which Dirham Payment Tokens are issued may be vulnerable to technical issues and attacks, potentially causing network disruptions. Such disruptions could result in unexpected transaction pauses, inability to transfer tokens, significant losses for network participants, and unforeseen liquidity movements. Additionally, the smart contracts deployed by Zand Trust to mint, burn, freeze, un-freeze or transfer Dirham Payment Tokens across various blockchains may also be subject to technical vulnerabilities. These vulnerabilities could lead to losses for Dirham Payment Token holders, further impacting the stability and reliability of the network.
2. As mitigation, Zand Trust only uses smart contracts which are independently audited on a periodic basis. Zand Trust also diversifies its use of blockchain networks to reduce dependency on any single network, thereby minimizing the impact of potential disruptions or attacks. Additionally, Zand Trust performs a thorough due diligence on the blockchain networks before issuing the Payment Tokens on it.

9.11 Irreversibility of Transactions on the Blockchain

1. Transactions on the blockchain depending on the tools and service providers used, may be irreversible. Once a transaction is posted to a blockchain address, there is a risk of losing access to, and any claim on those tokens indefinitely or permanently. This can arise from several factors including incorrect entry of the blockchain address, private key associated with the address is lost, or wallet address belonging to an entity that refuses to return the tokens.
2. Zand Bank and Zand Trust acknowledges that blockchain transactions are inherently irreversible, which is a core feature of blockchain networks. As such, both Parties are unable to prevent or mitigate the risk of transaction irreversibility. While both Parties are not liable for any losses resulting from this characteristic, clients will be periodically informed about these risks through multiple communication channels to promote awareness and understanding.

9.12 Other Unanticipated Risk

1. The blockchain and Payment Tokens are relatively new and are only gaining wider adoption in the past decade. There may be other unforeseen or unexpected risks which may emerge with increased use case, or a combination of the above-mentioned risk factors.
2. Zand Trust adopts a proactive and adaptive risk management approach, including proactive monitoring of the evolving landscape and constant engagement with industry participants. This is not only to foster a culture of continuous learning and improvement, but also to stay informed and agile to be able to identify and quickly adapt to new challenges, staying at the forefront of innovation and stability.

10 Token Issuance Forecast

Zand Trust forecasts its 5-year Payment Token issuance estimate by exploring market drivers, evolution of Payment Token usage and the product roadmap.

Year	Payment Token (AED million)
Year 1	2,000
Year 2	4,327
Year 3	9,356
Year 4	16,373
Year 5	27,834

These are the key variables influencing the growth rate of the Payment Token:

First AED-Backed Payment Token on a Public Network: Zand Trust strives to offer the first AED-backed Payment Token in the region and globally, and with that, harnessing the technology of the blockchain for faster, and cheaper transactions for institutions.

Blockchain Network & Infrastructure: Adoption of scalable, secure, and efficient blockchain networks (e.g., Ethereum, Solana, Aptos, X Layer). Zand Trust strives to ensure accessibility of its Payment Token through issuance over expansion of widely-used and adopted blockchain networks. These may include Layer-2 solutions and scalability improvements for faster, cheaper transactions. Expansion of blockchain networks signals product maturity and target customer reach.

Adoption of Use Cases and Expansion: Zand Trust aims to have its Payment Token as a means for multiple use cases such as e-commerce, payments and more. There are two components to this: volume and count. As businesses and partnership adoption grow, so do the volumes for use. Over time, we expect there to be an increase in use case of the Payment Token, thereby driving volume.

Institutional Interest: The global stablecoin market is expected to experience double digits growth in the next few years. We expect this especially prevalent for the UAE market given the high business interest in financial technologies, digital assets and solutions to enhance the current traditional financial system.

Global Shift: Over time, it is expected successful real-world use cases that demonstrate the reliability and utility of the Payment Token will drive demand for use case and create network effects. Correspondingly, international regulatory compliance will provide clarity for businesses and institutions for the usability of the Payment Token.

11 Reporting

Zand Trust commits to ensuring full transparency on the reserve management and tokenized assets in a manner that is publicly and easily accessible, and accurate. Zand Trust will provide the following information:

- Total circulating supply of the Dirham Payment Token
- The value and composition of reserve assets

Zand Trust will publish the circulating supply of tokens and audit of reserve assets on a publicly accessible webpage. Daily reconciliation with minted/burned Payment Tokens and the custodied fiat assets will be executed by the internal teams and independent auditors.

12 Restrictions

Zand Trust dedicates to employing the following policies:

1. All Dirham Payment Token issued by Zand Trust will be denominated only in Dirham.
2. Dirham Payment Token can only be issued by the regulated subsidiary wholly owned by Zand Bank.
3. Zand Trust will issue the Dirham Payment Token under the license and supervision of the Central Bank of the United Arab Emirates.
4. Clients directly minting or redeeming from Zand Bank will be subject to compliance KYC (Know Your Customer) and risk checks.

13 Conclusion

In conclusion, the introduction of the Dirham Payment Token represents a significant advancement in the realm of digital finance, offering a stable and reliable alternative to traditional fiat currencies. By leveraging blockchain technology, the Dirham Payment Token ensures transparency, security, and immutability, addressing many of the concerns associated with conventional financial systems.

The United Arab Emirates (UAE) is uniquely placed as a global hub for trade and finance, making efficient and secure payment transfers exceptionally significant. The Dirham Payment Token's potential to facilitate seamless cross-border transactions, reduce transaction costs, and enhance financial inclusion makes it a compelling addition to the digital economy.

As regulatory frameworks continue to evolve, the successful implementation of a Dirham Payment Token will depend on robust governance, compliance with legal standards, and the fostering of public trust. The Dirham Payment Token stands poised to play a pivotal role in the future of global finance, driving innovation and fostering economic growth.

Approval and Authorization

I, the undersigned, in my capacity as Chairman of the Board of Zand Trust LLC, hereby confirm that I have reviewed this White Paper for the Dirham (AED) Payment Token and, on behalf of Zand Trust LLC, approve its issuance and publication. This approval is granted in accordance with the applicable governance framework of Zand Trust LLC.

For and on behalf of Zand Trust LLC

Mohammed Alshaiba Saleh Channam Almazrouei

Chairman of the Board

Zand Trust LLC

Date: 2-9-25

For and on behalf of Zand Trust LLC

DocuSigned by:
Michael Chan
FF5847A8A1FF40D...

Yuk Tao Michael Chan

Board Member

Zand Trust LLC

Date: 18 Sept 2025

